



Contents

World supply-demand outlook	1
Crop monitor	3
Policy developments	6
International prices	8
Futures markets	10
Market indicators	11
Monthly US ethanol update	13
Fertilizer outlook	14
Ocean freight market update	15
Explanatory notes	16

MARKET MONITOR

No. 55 – February 2018

Roundup

The overall trends in global markets for the four AMIS crops still point to ample supplies in 2017/18, supported by above-average to record crops in most countries and large ending stocks. Consequently, price volatility in international markets remained subdued, although tightening supplies of high-quality wheat and brisker world demand for rice in recent months resulted in firmer export quotations. Argentine soybean prices received support from continued hot and dry weather conditions. While the 2018/19 season is still some months away, early indications point to only modest declines in wheat and maize production.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▲
Maize	▲	▲
Rice	▲	▲
Soybeans	▲	▼

▲ Easing

■ Neutral

▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.

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World supply-demand outlook

- **Wheat** 2017 production lifted, now closer to the 2016 record, with increases in Canada and the Russian Federation more than offsetting cuts in several countries, in particular Australia.
- Utilization in 2017/18 lowered, largely on downward revisions in the Russian Federation.
- Trade in 2017/18 (July/June) lowered slightly, now representing a small contraction from 2016/17.
- Stocks (ending in 2018) up sharply from the previous forecast, reflecting upward revisions in the EU and the Russian Federation.

WHEAT

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS				USDA		IGC	
2016/17	2017/18			2016/17	2017/18	2016/17	2017/18
est.	f'cast			est.	f'cast	est.	f'cast
	7-Dec	1-Feb			12-Jan		18-Jan
761.3	754.8	757.6		750.4	757.0	754.5	757.4
985.3	999.3	1,005.7		992.1	1,009.7	978.2	998.0
732.4	739.9	733.9		739.4	741.7	737.7	743.6
177.0	175.0	174.5		183.4	180.9	175.8	174.1
248.1	257.2	269.8		252.7	268.0	240.6	254.4

in million tonnes

- **Maize** 2017 production raised significantly on upward revisions in China, the EU and Mexico.
- Utilization in 2017/18 scaled up, supported by higher-than-earlier anticipated feed and industrial use in the EU and Mexico.
- Trade in 2017/18 (July/June) to expand by 3.5 percent, mostly on stronger import demand by Egypt and several countries in Asia.
- Stocks (ending in 2018) increased, with larger inventories in Brazil and China more than offsetting drawdowns in Mexico and Ukraine.

MAIZE

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS				USDA		IGC	
2016/17	2017/18			2016/17	2017/18	2016/17	2017/18
est.	f'cast			est.	f'cast	est.	f'cast
	7-Dec	1-Feb			12-Jan		18-Jan
1,040.4	1,075.3	1,083.0		1,076.0	1,044.6	1,087.8	1,054.2
1,270.9	1,312.7	1,318.7		1,291.0	1,273.3	1,382.6	1,389.5
1,035.5	1,061.8	1,065.9		1,062.2	1,066.7	1,047.4	1,067.7
139.8	143.0	143.0		163.1	151.5	138.0	147.1
235.7	245.2	248.2		228.8	206.6	335.3	321.8

in million tonnes

- **Rice** 2017 production raised, mostly due to an upward revision in China, now pointing to a modest (0.2 percent) increase from last year.
- Utilization in 2017/18 upgraded a little on higher expected food consumption in Bangladesh and China.
- Trade in 2018 down 2 percent from the revised estimate for 2017; the forecast for 2018 remains nearly unchanged since December with lower sales by India, the US and Thailand more than outweighing higher exports by Myanmar.
- Stocks (ending in 2018) to exceed the previous year's level, largely on higher anticipated inventories in China.

RICE (milled)

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS				USDA		IGC	
2016/17	2017/18			2016/17	2017/18	2016/17	2017/18
est.	f'cast			est.	f'cast	est.	f'cast
	7-Dec	1-Feb			12-Jan		18-Jan
500.7	500.8	501.9		487.1	484.7	486.8	483.7
667.8	669.9	670.3		619.7	622.8	609.8	608.0
497.7	503.0	503.7		481.6	481.8	485.6	484.7
47.0	46.2	46.0		46.0	45.8	44.3	43.8
168.4	170.2	170.0		138.1	141.1	124.3	123.4

in million tonnes

- **Soybean** 2017/18 production raised marginally, with higher forecasts for Brazil more than offsetting downward revisions in Argentina and the US.
- Utilization in 2017/18 lifted slightly on higher-than-earlier projected increases in Brazil, China and the US; this season's growth in global consumption still set to remain below average.
- Trade forecast for 2017/18 essentially unchanged; on the export side, lower-than-earlier anticipated US shipments would be compensated by higher deliveries by Brazil.
- Stocks (2017/18 carry-out) scaled up, mainly reflecting upward revisions in Brazil and the US; compared to last season's all-time high, global inventories are set to decline.

SOYBEANS

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS				USDA		IGC	
2016/17	2017/18			2016/17	2017/18	2016/17	2017/18
est.	f'cast			est.	f'cast	est.	f'cast
	7-Dec	1-Feb			12-Jan		18-Jan
348.9	345.9	346.3		351.3	348.6	350.0	348.9
393.2	397.0	398.0		429.3	445.1	382.1	392.0
340.7	350.8	352.4		329.8	344.5	339.2	351.6
149.1	153.3	153.0		147.3	152.2	147.7	153.2
51.6	45.9	47.0		96.5	98.6	43.1	40.4

in million tonnes



FAO-AMIS monthly forecast

To review and compare data, by country and commodity, across the three main sources, go to:
<http://statistics.amis-outlook.org/data/index.html#COMPARE>

Summary of revisions to FAO-AMIS monthly forecasts for 2017/18

in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	2823	-480	-6005	-503	12796	7643	23	4103	-	3009
Total AMIS	2857	120	-5692	-703	13272	7207	100	3738	-	3188
Argentina	-	-	-	-	-	-	-	-	400	-
Australia	-1344	-	143	-1153	31	88	-	38	-	50
Brazil	-370	-	180	-200	-400	-	-	-2600	1800	2000
Canada	2854	-	454	300	1300	-218	100	82	-	-100
China Mainland	-426	200	-215	-	289	3391	-	-500	-	3452
Egypt	-	-	-	-	-	-	700	300	-	400
EU	-	-	-1200	-1600	3000	3500	-1100	2400	-	-
India	-	-	-	-	-	-	-	-	-	-
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-106	-300	84	-200	650	2000	200	2450	-	-1850
Nigeria	-	-	-	-	-	328	200	328	-	200
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	20	-	-	-	-	-	-	-	-
Russian Fed.	2719	-	-4500	1800	7319	-1849	-	151	-2000	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-85	100	15	-	-	-	-	200	-200	-
Thailand	-	-	-	-	-	-	-	-	-	-
Turkey	-100	-	-	500	-100	-	-	-	-	-
Ukraine	-285	-	-	-	-285	-707	-	-	-	-707
US	-	100	-653	-150	1468	674	-	889	-	-257
Viet Nam	-	-	-	-	-	-	-	-	-	-

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	1057	-205	665	-199	-140	436	-310	1619	-340	1091
Total AMIS	705	-5	331	-610	256	226	40	1771	-698	1307
Argentina	-	-	10	-20	25	-690	-200	-440	-	-500
Australia	-3	-	-3	-	-	2	-	-3	2	5
Brazil	-	-	-25	-	-30	2438	-	1238	2150	500
Canada	-	-	-	-	-	-604	-	-4	-500	-100
China Mainland	1171	-	243	-	800	-340	600	490	-	-
Egypt	-	-	-	-	-	-5	-	-5	-	-
EU	-24	50	1	10	10	101	-	124	-	-
India	-	-	-100	-200	-120	-	-	-	-	-
Indonesia	-	-	-	-	-	-	-	20	-	-40
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	20	-	-	15	-50	-19	-	299
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-88	-	-38	-	-50	-	-	-	-	-
Rep. of Korea	-	-30	-	-	-10	-	-	-	-	-
Russian Fed.	-20	-	-5	-	-10	276	-100	200	50	-10
Saudi Arabia	-	-70	-10	-	-10	-	-	-	-	-
South Africa	-	-20	15	-	25	-	-	-	-	-
Thailand	-	-	-60	-150	-	-	-	-	-	-
Turkey	-	-	-	-	-	-	-100	-80	-	-20
Ukraine	-	-	-	-	-	-	-	-	-	-
US	-5	15	159	-150	-24	-920	-	310	-2400	1220
Viet Nam	-326	50	124	-100	-350	-47	-110	-60	-	-47

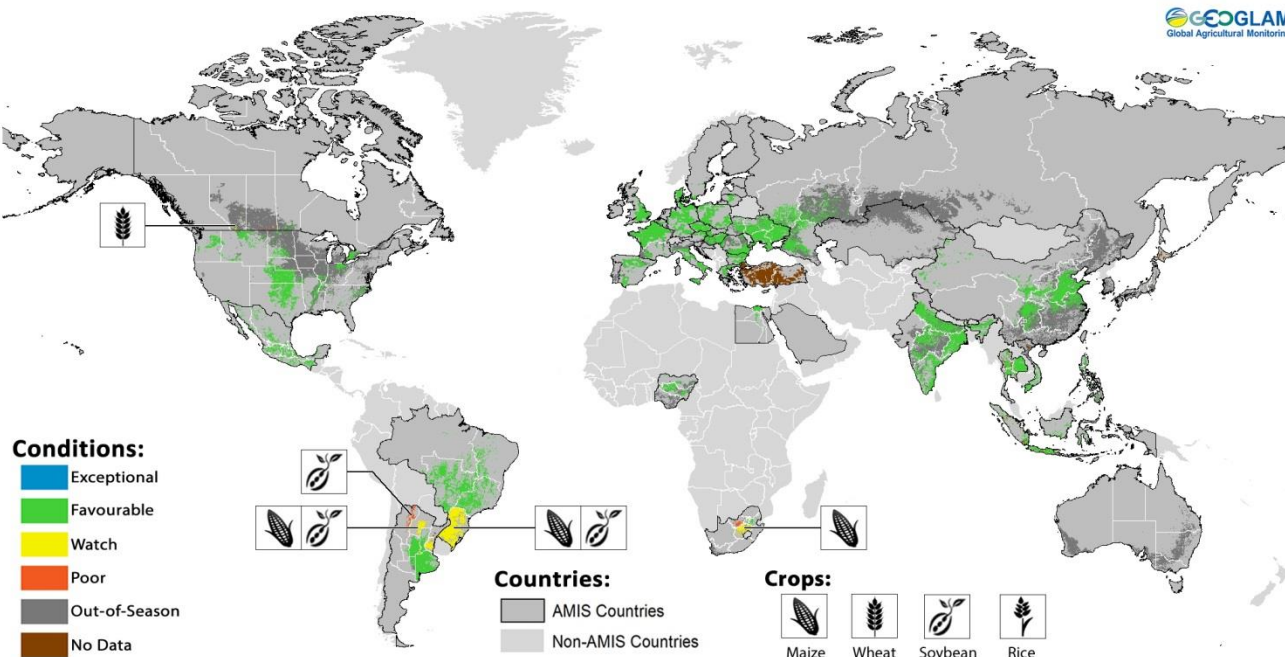


Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report.

Crop monitor

Crop conditions in AMIS countries (as of 28 January)

GEGLAM
Global Agricultural Monitoring



Crop condition map synthesizing information for all four AMIS crops as of 28 January. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the southern hemisphere, harvesting has completed. In the northern hemisphere, winter wheat is in dormancy under generally favourable conditions.

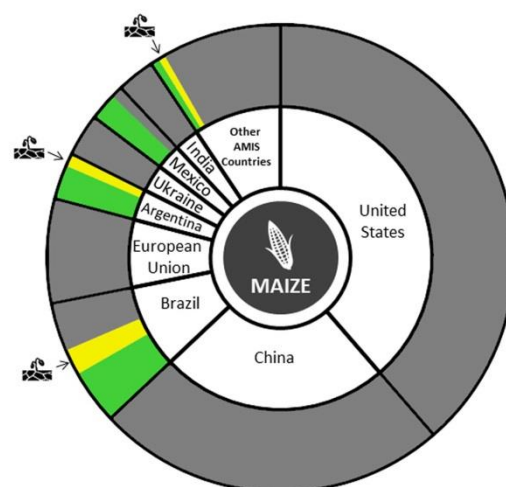
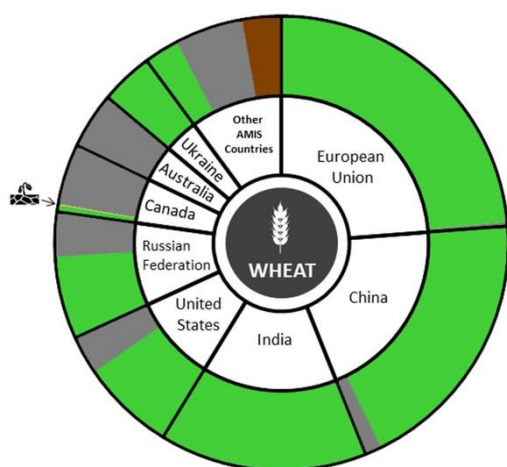
Maize - In the southern hemisphere, crop conditions are mixed due to dry conditions in Brazil, Argentina and South Africa.

Rice – In India, the Rabi crop is favourable. In Southeast Asia, crop conditions are favourable as dry-season rice begins in the northern countries while wet-season rice is well underway in Indonesia.

Soybean - In the southern hemisphere, crop conditions are mixed for Argentina and Brazil due to a combination of dry and wet conditions.

La Niña update

A La Niña Advisory has been in effect since November 2017, and the probability of persistence through March is about 65 percent, nearly double the typical probability for that month of the year. Thereafter, La Niña conditions are expected to decline to a neutral state. Associated with the event, drier than normal conditions currently prevail in southwest Asia, the Horn of Africa, southeastern South America, eastern China, and the southern United States. Atypically for a La Niña event, areas of Southern Africa are experiencing below average precipitation due to uncharacteristic conditions in the southern Indian Ocean. Similarly, though northern South America is frequently wetter than normal with La Niña, so far conditions are drier than average. Wetter than normal conditions, as expected, are being experienced in parts of Central America and the Caribbean, and in Southeast Asia.

Conditions:**Drivers:****Wheat**

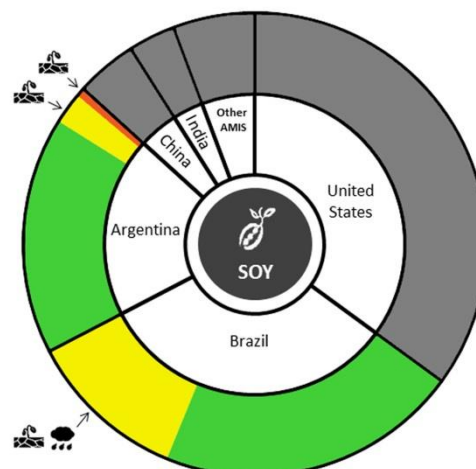
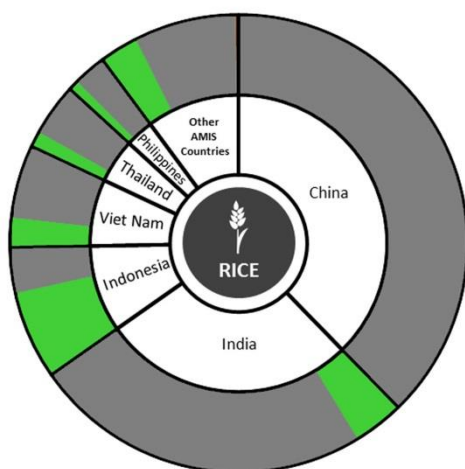
In the **EU**, winter wheat conditions are favourable with a very mild winter causing only minor frost damage so far. In **Ukraine**, winter wheat conditions are favourable with a very warm winter leading to no crop losses so far. Rainfall and snow levels are sufficient to allow for good soil moisture conditions in the spring. In the **Russian Federation**, conditions are favourable for winter wheat with warmer than usual weather protecting crops from winter damage. In **China**, conditions are favourable for winter wheat with heavy snow cover for insulation during dormancy and spring soil moisture. In **India**, sowing of Rabi wheat is almost complete under favourable conditions, with a minor reduction in sown area compared to last year. In the **US**, winter wheat conditions are generally favourable, however, dryness has been on the increase in the Southern Great Plains. Total sown area is similar to last year. In **Canada**, conditions are mixed for winter wheat with poor soil moisture conditions and minimal snow cover during the dormancy phase in the southern prairies. In **Argentina**, harvest completed in Buenos Aires with a favourable crop despite the mixed conditions experienced during the season.

Maize

In **Brazil**, conditions are generally favourable as the spring-planted crop enters the critical reproductive stage. However, there is some concern over dry conditions in the large producing region in the south. Sowing of the summer-planted crop (larger) has begun under favourable conditions. In **Argentina**, conditions are generally favourable for both the early and late planted crops with scattered areas of dryness in the central and southern growing regions. Dry conditions in the north are delaying sowing of the late crop. In **South Africa**, conditions are mixed in the main production region with favourable conditions in the east and dry conditions in the west. In **Mexico**, conditions are favourable as harvest of the spring-planted crop continues and sowing of the autumn-planted crop progresses.

i Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Conditions:**Drivers:****Rice**

In **India**, conditions are favourable for the Rabi crop with an increase in sown area from last year. In **Indonesia**, conditions are favourable as sowing of the wet-season rice continues, albeit slowly, as farmers wait for enough rainfall. Harvest of earlier sown wet-season rice has also begun. In **Viet Nam**, sowing of the winter-spring rice (dry season rice) has begun in the south under favourable conditions, though the sowing rate is lower this year due to the slow receding of waters. In **Thailand**, dry-season rice is in the vegetative stage under favourable conditions with an increase expected in sown area compared to last year owing to ample rainfall and irrigation water. In the **Philippines**, conditions are favourable for dry-season rice that is currently the vegetative stage with an increase in sown area compared to last year.

Soybeans

In **Brazil**, conditions are mostly favourable with sufficient rainfall and sunlight during the critical reproductive development stages in most parts of the country. Nevertheless, there is some concern in the south due to lack of rainfall in some parts and excess rainfall and lack of sunlight in other parts. In **Argentina**, conditions are mixed for both the spring-planted crop (larger) and the summer-planted crops. Conditions are generally favourable with scattered areas of dryness in the main producing areas in the central and southern growing regions. In the north, conditions are unfavourable as the sowing of the summer-planted crop is delayed due to a lack of soil moisture and high temperatures.

Information on crop conditions in non-AMIS countries

can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 1 February 2017

Policy developments

Wheat

- On 13 December 2017, **Brazil** issued Regulatory Instruction No. 47 with immediate effect, which describes the procedural requirements for pest risk mitigation applicable to Russian wheat imports. The policy enables access of Russian wheat imports to the northern states of Brazil.
- On 12 December 2017, **Egypt** issued a decree to authorize wheat imports with ergot content below 0.05 percent subject to further treatment.
- On 29 December 2017, **India** decided to extend the relaxation in fumigation regulations regarding the use of methyl bromide until 30 June 2018 (Memo 8-131/2016-PP.II).

Maize

- In January 2018, the **European Commission** renewed the authorization of one variety of genetically-modified maize for ten years. Any products derived from this variety will be subject to EU labelling and traceability rules.

Rice

- In December 2017, **China** reduced the import tariff on broken rice from 65 percent to 10 percent, effective from 1 July 2018.
- On 30 November 2017, **Japan** revised the "Basic Guidelines for Rice". As of the 2018 crop year, production target quantities will no longer be allocated by the administration, allowing producers, collectors and farmer organizations to produce rice based on actual demand.
- In December 2017, **Mexico** set its tariff rate quota volume for rice to 150 000 tonnes for both 2018 and 2019 in order to ensure stable and affordable supplies. Under the tariff quota, imports of paddy and milled rice will be duty-free, compared to an out-of-quota import duty of 9 percent and 20 per cent, respectively for paddy and milled rice.
- In December 2017, **Thailand** allocated THB 1.69 billion (USD 52 million) to encourage farmers to switch from paddy rice to other crops in order to stabilise domestic rice prices.
- Effective in January and until 1 July 2018, **Turkey** reduced import tariffs from 35 percent to 5 percent for paddy rice; from 36 percent to 10 percent for brown rice; and from 45 percent to 15 percent for milled rice.

Soybeans

- In January 2018, **Argentina** effectively reduced the soybean export tax from 30 percent to 29.5 percent (Decree 1343/2016). Until December 2019, export taxes will be subject to further monthly reductions of 0.5 percentage points, down to 18 percent for soybeans; and down to 15 percent for soybean by-products.
- As of 1 January 2018, **China** reduced the amount of foreign material allowed in shipments of US soybeans. US shipments that exceed 1 percent of foreign material could be held back for testing.
- In January 2018, the **European Commission** authorized five new varieties of genetically-modified oilseeds for ten years, including four soybean and one rapeseed varieties. All derived products will be subject to EU labelling and traceability rules.

Biofuels

- Effective from 1 January 2018, **Argentina** modified its variable export tax on biodiesel to a fixed rate of 8 percent.
- On 27 December 2017, **Brazil** passed a national biofuel policy (No. 13.576/2017) called RenovaBio to foster commitments made under the Paris Climate Agreement. The policy is designed to expand biofuel production and enhance the predictability of energy markets by establishing mandates related to biofuel certification and tradable decarbonisation credits.
- On 17 January 2018, in order to reform the energy market and reduce negative environmental impacts, the **European Union** Parliament approved a draft measure to ban the use of palm oil in biofuels by 2021. The European Parliament, the European Commission and EU national governments are yet to negotiate a final draft.
- In December 2017, the **European Council** proposed to retain the existing target of 27 percent of renewable energy in total EU energy consumption for 2030. The target would be 14 percent for the transport sector in each EU member State, with a sub-target of 3 percent for advanced biofuels. The existing 7 percent cap on first generation biofuels would also be maintained. EU member states who lower their first-generation cap would be able to lower the overall renewable energy target in the transport sector.
- On 25 January, a WTO panel recommended that the **European Union** bring its measures on biodiesel from



AMIS Policy database

Visit the AMIS Policy database at: <http://statistics.amis-outlook.org/policy/>

The AMIS Policy database gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

Indonesia into conformity with its obligations under the Anti-Dumping Agreement and the GATT 1994 (DS480).

- On 27 December 2017, the **US** Environmental Protection Agency proposed amending the Renewable Fuel Standard regulations to define the term 'distiller's sorghum oil' as oil from the sorghum, conditional upon its conversion to ethanol.
- On 28 December 2017, the Department of Commerce of the **US** issued final determinations in countervailing duty orders on biodiesel ranging from 71.87 to 72.28 percent for imports from Argentina; and 34.45 to 64.73 percent for imports from Indonesia, applicable from 4 January 2018.

Across the board

- On 16 January 2018, **Argentina** issued Decree No. 9-E/2018 to cap the costs of port docking and undocking services, which is expected to decrease such costs by 20 to 40 percent.
- In the wake of the EU's decision to extend the authorization to use the glyphosate herbicide for another five years, in December 2017 **France** decided to ban its use after three years.
- On 22 December 2017, the **US** instituted a tax law that grants farmers a tax deduction of up to 20 percent conditional upon sales being made to agricultural cooperatives *versus* other big trading companies.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Jan 2018 Average*	% Change	
		M/M	Y/Y
GOI	194	+1.4%	+0.5
Wheat	175	+1.8%	+7.8%
Maize	174	+3.1%	-5.6%
Rice	172	+3.3%	+14.6%
Soybeans	190	-0.1%	-5.8%

*Jan 2000=100, derived from daily export quotations

Wheat

World wheat export prices edged slightly higher during the past month, with the IGC GOI wheat sub-Index climbing by 1.8 percent. Upside was mostly linked to concerns about unfavourable conditions for 2018/19 crops in some areas, especially drought and spells of very cold weather in the US. However, advances in global prices were capped by more than ample nearby export availabilities and strong competition, with the Black Sea region continuing to capture a large share of demand. Although some logistical difficulties were reported in Ukraine, there was little sign that the pace of Russia's shipments was slowing.

Maize

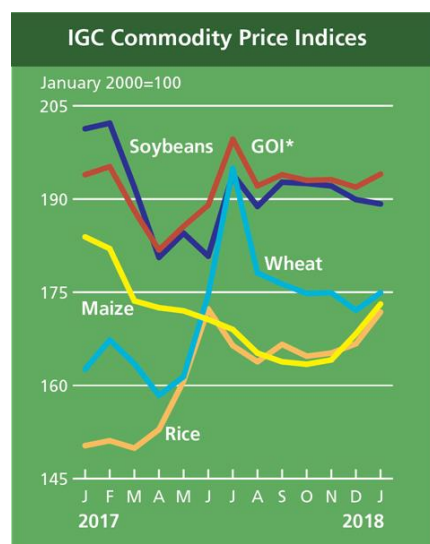
The IGC GOI maize sub-Index gained for a third successive month in January, with average export quotations strengthening across the board. Despite heavy supplies, the US market was buoyed by logistical constraints, as icy conditions slowed barge traffic along inland waterways. However, dollar-denominated FOB values remained competitive against those from South America. Prices there moved higher on worries about hot, dry weather in Argentina and background speculation about a possible drop in second-crop (safrinha) plantings in Brazil. Mainly tracking upward movements elsewhere, Black Sea values also started the new year with modest advances.

Rice

Against the backdrop of tightening supplies in leading exporters and stronger international demand, the IGC GOI rice sub-Index advanced by 3.3 percent in January, its third consecutive monthly increase. Gains were tied to firmer Asian markets, with offers in Viet Nam at around a three-year peak. Support stemmed from an unexpectedly large purchase by Indonesia, together with anticipated buying interest from other importers, including the Philippines and Bangladesh. With underpinning from a heavy fall in domestic output and lower stocks more than offsetting pressure from sluggish export interest, US milled rice values were at their highest since November 2014.

Soybeans

The IGC GOI soybean sub-Index retreated slightly in January, its fourth successive monthly fall, with average export prices weaker at all major origins. Sentiment was weighed by improving 2017/18 crop prospects in Brazil, where initial yields were reported to be promising, together with ideas that US farmers could again boost sowings in 2018/19. Firmer than expected competition from Brazil for export business also pressured, outweighing light support from logistical difficulties on Midwest waterways due to icy conditions. Continued worries about the impact of hot, dry weather underpinned FOB prices in Argentina, but this was countered by currency movements.



*GOI: Grains and Oilseeds Index

		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100) (.....)				
2017	January	193.9	162.6	183.9	150.3	201.3
	February	195.2	167.3	182.0	151.1	202.2
	March	188.1	163.5	173.6	149.9	191.9
	April	181.8	158.4	172.5	152.9	180.6
	May	185.6	161.4	172.0	160.7	184.5
	June	189.0	174.6	170.6	172.3	180.8
	July	199.6	194.9	169.0	166.4	194.0
	August	192.1	178.1	165.2	163.8	188.8
	September	193.9	176.3	163.8	166.6	192.7
	October	193.0	174.8	163.4	164.7	192.5
	November	193.1	174.9	164.1	165.2	192.1
	December	191.9	172.1	168.3	166.7	189.9
2018	January	194.5	175.3	173.6	172.2	189.6

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2016-2018)



Daily quotations of selected export prices

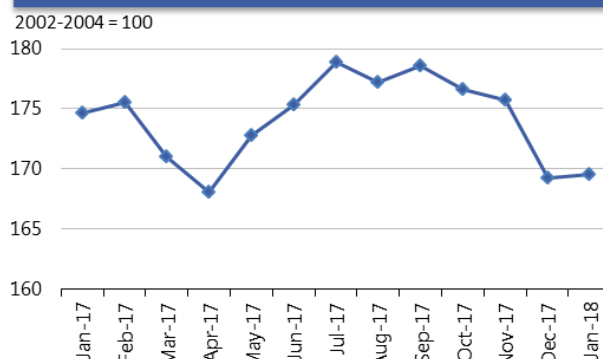
	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	30-Jan	241	225	224	202	7.1%	19.3%
Maize (US No. 2, Yellow)	30-Jan	159	155	151	159	2.9%	0.1%
Rice (Thai 100% B)	30-Jan	439	438	396	366	0.2%	19.9%
Soybeans (US No.2, Yellow)	30-Jan	384	378	368	393	1.6%	-2.3%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	January 2018 Average	Monthly Change	Annual Change
Argentina	ARS	19.0	-7.2%	-19.3%
Australia	AUD	1.3	3.7%	6.1%
Brazil	BRL	3.2	2.5%	-0.5%
Canada	CAD	1.2	2.5%	5.8%
China	CNY	6.4	2.4%	6.7%
Egypt	EGP	17.7	0.6%	4.8%
EU	EUR	0.8	2.8%	12.7%
India	INR	63.6	0.9%	6.5%
Indonesia	IDR	13,385.3	1.3%	-0.2%
Japan	JPY	111.0	1.7%	3.4%
Kazakhstan	KZT	327.1	2.0%	1.2%
Rep. Korea	KRW	1,066.0	1.5%	9.6%
Mexico	MXN	18.9	1.4%	11.4%
Nigeria	NGN	307.0	0.1%	0.4%
Philippines	PHP	50.5	-0.5%	-1.6%
Russian Fed.	RUB	56.7	3.2%	5.3%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	12.2	6.7%	10.0%
Thailand	THB	31.9	2.1%	9.9%
Turkey	TRY	3.8	1.6%	-0.7%
UK	GBP	0.7	2.8%	10.4%
Ukraine	UAH	28.4	-3.2%	-4.7%
Viet Nam	VND	22,704.0	0.0%	-0.5%

FAO Food Price Index

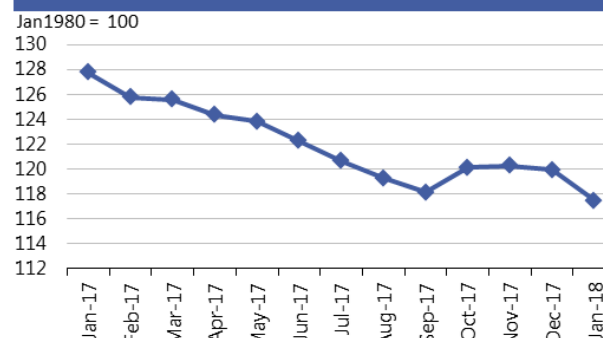
Jan2017-Jan2018



Source: FAO

Nominal Broad Dollar Index

Jan2017-Jan2018



Source: US Federal Reserve

Futures markets

Futures Prices – nearby

	Jan-18 Average	% Change	
		M/M	Y/Y
Wheat	159	5.0%	+1.8%
Maize	139	2.2%	-2.6%
Rice	263	-0.2%	+23.4%
Soybeans	356	-0.4%	-6.3%

Source: CME

Futures prices

Prices for wheat, maize and soybeans were mixed m/m, with wheat and maize gaining about 5 percent and 2 percent respectively, while soybeans ended up almost unchanged, after reversing their downward trend exhibited in December. Signs of a growing global economy seemed to have offset some of the negative USDA January World Agricultural Supply and Demand Estimates (WASDE) report which decreased US exports and raised world estimates for ending stocks for all three commodities. Weather concerns in Argentina and rising margins in the US soybean crushing sector (calculated by the price difference between soybeans and the two end products of soy meal and soy oil) added support to maize and soybean price levels. Dryness in the US Plain states and deteriorating crop conditions caused wheat prices to touch four month highs. Exogenous markets, which had been range-bound for several years, saw a fall in the US Dollar Index to a three year low, and a rise in copper and crude oil – leading indicators of industrial production - to three year highs, trends typically associated with stronger agricultural markets. On a y/y basis wheat prices were 1.8 percent higher while maize and soybean prices were 2.6 and 6.3 percent lower, respectively. Rice prices, while negligibly lower m/m were still trading about 23 percent higher y/y, mostly reflecting the US reduced supply crop season.

Volumes and volatility

Trade volumes rose by over 40 percent in wheat and maize m/m, reflecting seasonal patterns for the two commodities while falling in soybeans by 39 percent. Wheat and maize volumes were modestly lower y/y while soybean volumes dropped 15 percent, approaching three-year lows. Implied volatility declined for the fourth successive month for all three commodities, hovering close to all-time low levels. Historical volatility fell for maize and soybeans, rose for wheat, but was lower y/y for all 3 commodities.

Basis levels and transport

Domestic basis levels for maize and soybeans appeared steady to higher as post-harvest supplies were consumed domestically or exported. In Illinois, the interior bids to

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Jan-18	Dec-17	Jan-17
Wheat	23.3	21.2	26.4
Maize	12.9	14.4	16.9
Rice	20.9	26.6	19.8
Soybeans	11.4	12.7	15.2

local elevators were quoted minus USD 8.5 (per tonne) for maize and minus USD 12.5 for soybeans (both under the respective March futures prices), indicating an improvement of about USD 1. In Iowa the bids were similarly steady to higher at minus USD 14.5 for maize and minus USD 27 for soybeans (under the respective March futures). Domestic soft red wheat values were steady at about minus USD 4 below the March futures price for delivery to the northern mills although some bids reflected par with March futures. Basis levels for Gulf export delivery for maize and soybeans crept higher to USD 17 and USD 15 per tonne respectively. Soft red wheat values for Gulf delivery softened slightly to about USD 19 per tonne. Barge freight increased to USD 20 per tonne, rising above the three year average rate for second successive month (lower Illinois River quotations). Exports and export commitments continued to lag behind last year's record pace for all three commodities at 17 percent lower for both categories.

Forward curves

Forward curves for wheat, maize and soybeans continued in their same configurations of seasonally wide carries, typical for well supplied markets. The most volatile spread among the three commodities – the old crop/new crop soybean spread (July 2018 minus November 2018) declined to less than USD 2 per tonne inverse. Deliveries against the January soybean futures were modest.

Investment flows

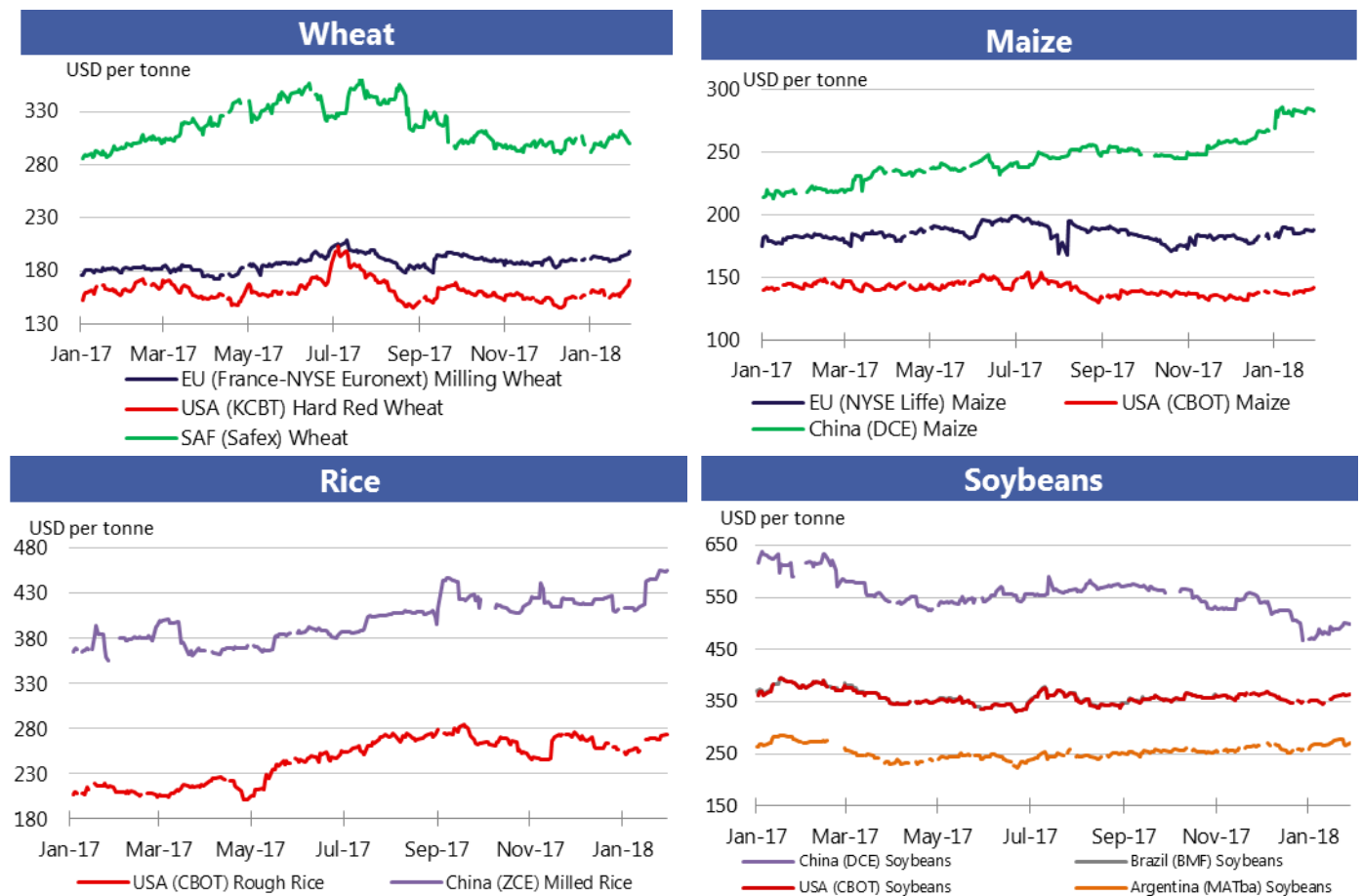
Managed money began the new year with net short positions in wheat, maize and soybeans, although at levels below the record setting short positions (recorded for maize) in mid-November. Commercials established small long positions in wheat and soybeans while maintaining a sizable net short position in maize. Swaps dealers, which offer retail index products tracking the values of underlying futures contracts, maintained their net long positions, now for the twelfth year in a row (since the beginning of the publication of CFTC's disaggregated Commitment of Traders Report).



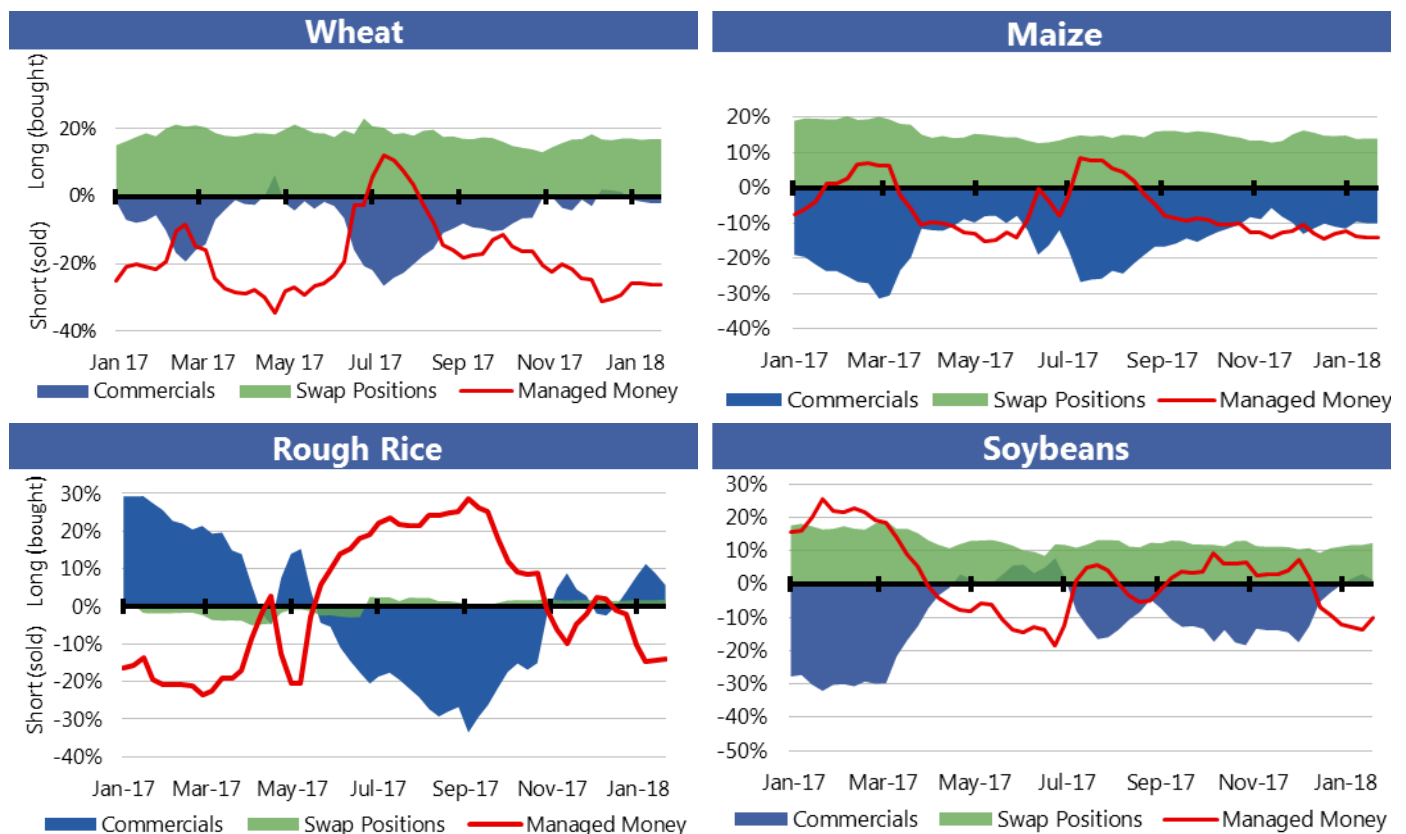
For information on technical terms please view the Glossary at the following link:
http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Market indicators

Daily quotations from leading exchanges - nearby futures

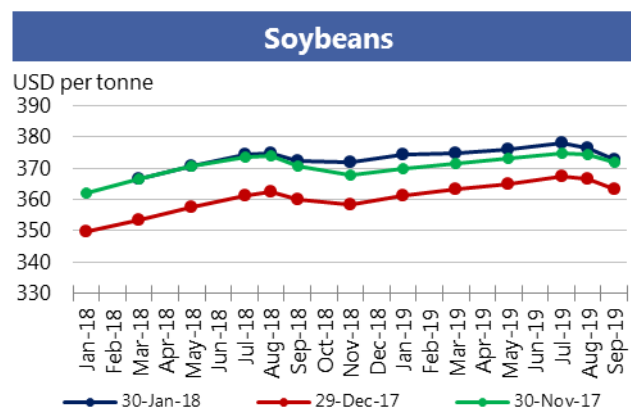
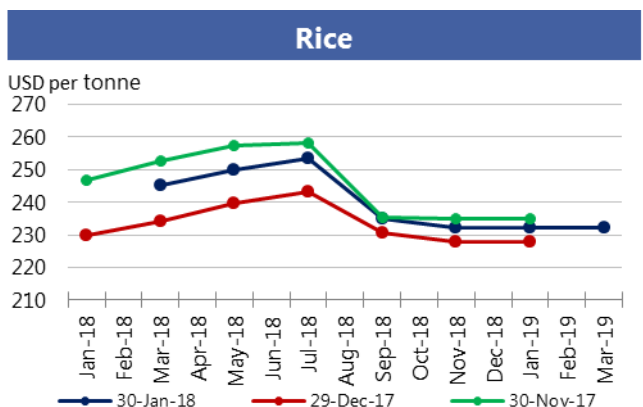
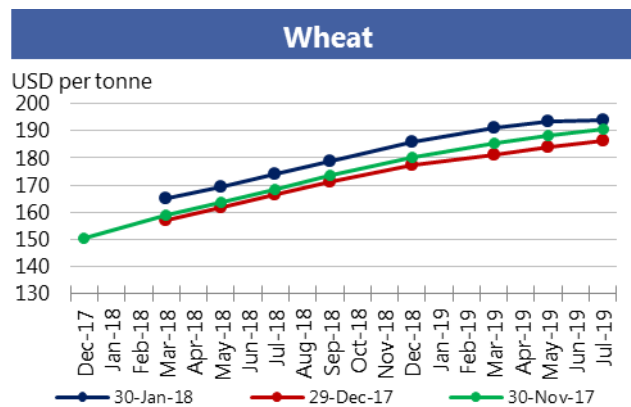
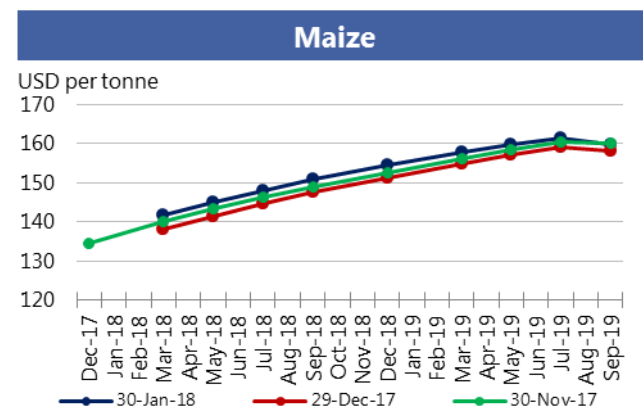


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

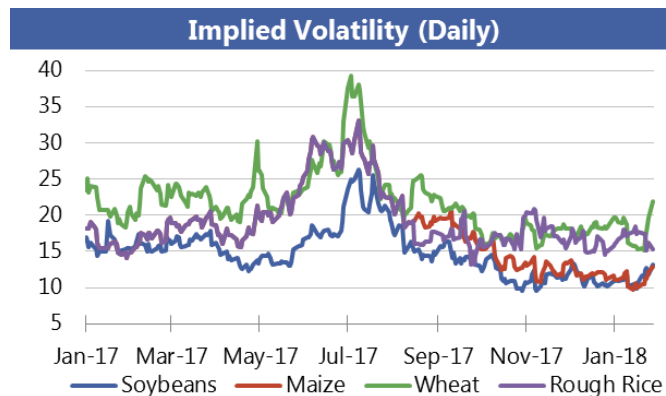
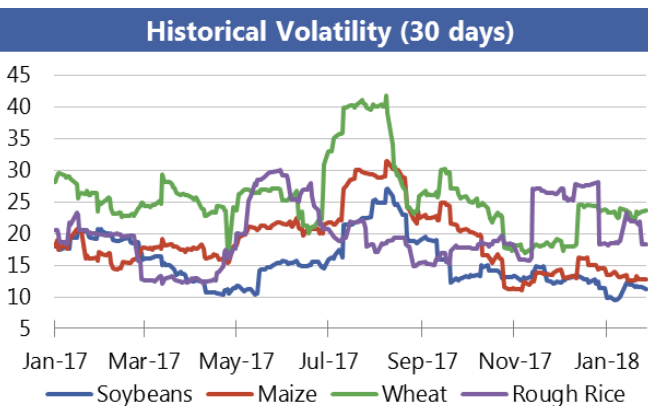


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

Monthly US ethanol update

- The **ratio** of nearby ethanol futures to RBOB gasoline fell to nearly 73 percent; while RBOB gasoline futures surged, ethanol futures only rose slightly.
- Ethanol spot and nearby futures prices** slightly increased in January; RBOB gasoline prices continued to climb, supported by rising crude oil prices. Ethanol futures prices averaged 50 cents lower than gasoline.
- Maize prices** have been trading in a fairly narrow range over the last several weeks.
- Ethanol margins**, although slightly negative, have improved from last month supported by an increase in the price of DDGs relative to maize prices.
- DDGs** prices have risen relative to maize for the last several weeks. The increase in relative DDGs prices has helped support the producer margin.
- Ethanol** production was slightly lower during the first half of January, representing an annualized production pace of 16.1 billion gallons; still below last month but slightly above last year and well above the annual mandate.

Spot prices IA, NE and IL/eastern corn belt average	Jan 2018*	Dec 2017	Jan 2017
Maize price (USD per tonne)	130.01	128.16	135.51
DDGs (USD per tonne)	145.36	136.58	100.45
Ethanol price (USD per gallon)	1.27	1.24	1.39

Nearby futures prices IE, NYSE			
Ethanol (USD per gallon)	1.34	1.31	1.49
RBOB Gasoline (USD per gallon)	1.84	1.73	1.58
Ethanol/RBOB price ratio	72.6%	75.6%	94.4%

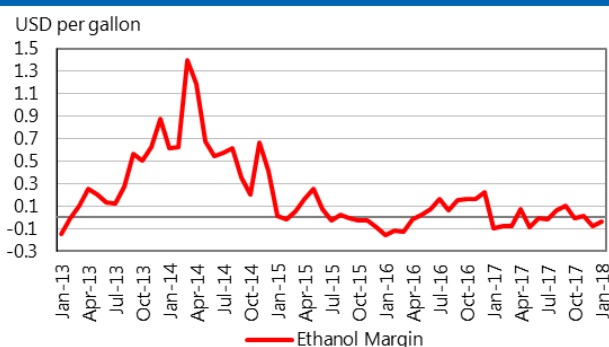
Ethanol margins IA, NE and IL/eastern corn belt Average (USD per gallon)			
Ethanol receipts	1.27	1.24	1.39
DDGs receipts	0.45	0.42	0.31
Maize costs	1.20	1.18	1.25
Other costs	0.55	0.55	0.55
Production margin	-0.03	-0.07	-0.10

Ethanol production (million gallons)			
Monthly production total	1 370	1 402	1 354
Annualized production pace	16 136	16 507	15 944

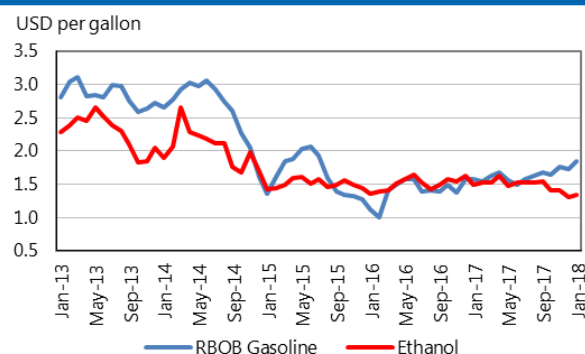
Based on USDA data and private sources

* Estimated using available weekly data to date.

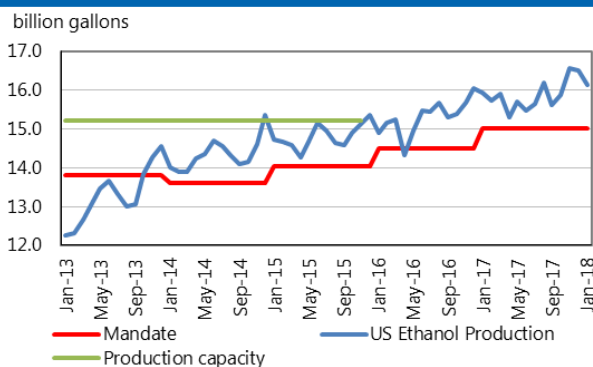
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

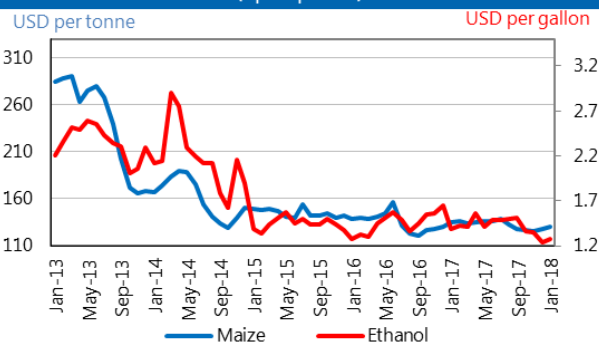


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

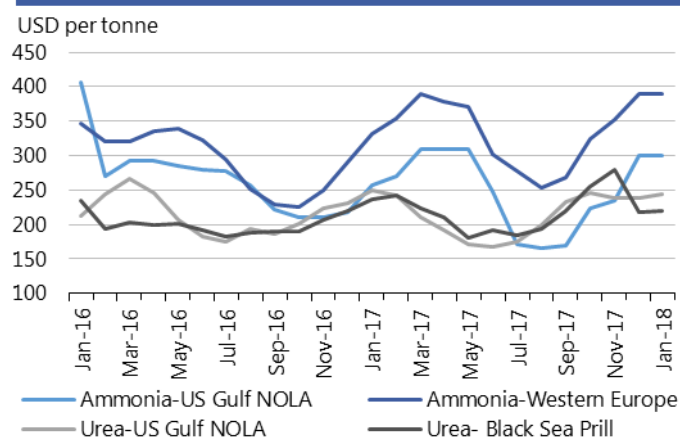
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

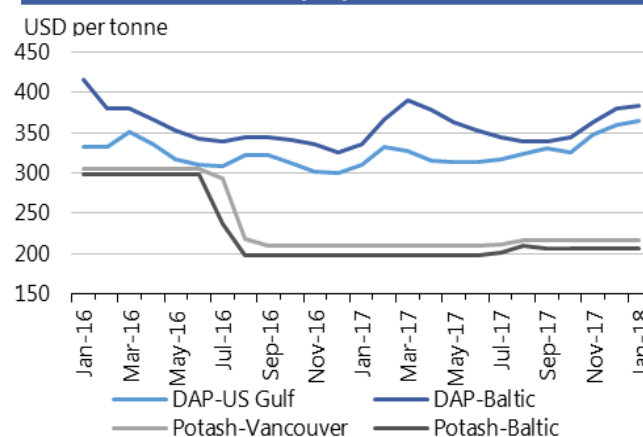
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

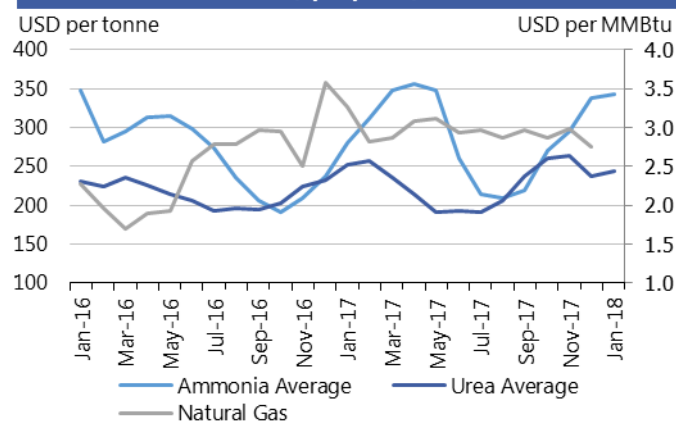
Ammonia and Urea
(Spot prices)



Potash and Phosphate
(Spot prices)



Ammonia Average, Urea Average and Natural Gas
(Spot prices)



- **Ammonia** prices remained stable on slowdown in trade activity.
- **Urea** prices increased slightly, driven by some reductions in supply from China; which diverted natural gas from urea to heating needs.
- **DAP** prices increased marginally, supported by higher production costs and steady demand.
- **Potash** prices remained steady despite an increase in global production.
- **Natural gas** prices decreased, negatively affected by unfavorable weather in the US.

Region	January average	January std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	300.0	-	-	16.7%	310.0	165.0
Ammonia-Western Europe	390.0	-	-	17.3%	390.0	254.0
Urea-US Gulf	245.0	4.4	2.4%	-1.9%	246.8	166.8
Urea-Black Sea	220.0	-	1.1%	-6.9%	280.0	181.3
DAP-US Gulf	364.3	1.2	1.2%	17.2%	364.3	313.0
DAP-Baltic	383.3	2.9	0.9%	14.0%	390.0	339.0
Potash-Baltic	206.0	-	-	4.0%	209.0	198.0
Potash-Vancouver	216.0	-	-	3.3%	216.0	209.0
Ammonia	342.5	-	1.1%	22.0%	355.6	210.0
Urea	243.7	3.1	2.4%	-3.6%	263.3	192.0
Natural Gas*	2.8	0.1	-7.8%	-23.0%	3.3	2.8

All prices shown are in US dollars

Source: Own elaboration based on Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices. **Natural Gas:** Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. **DAP:** Diammonium Phosphate.

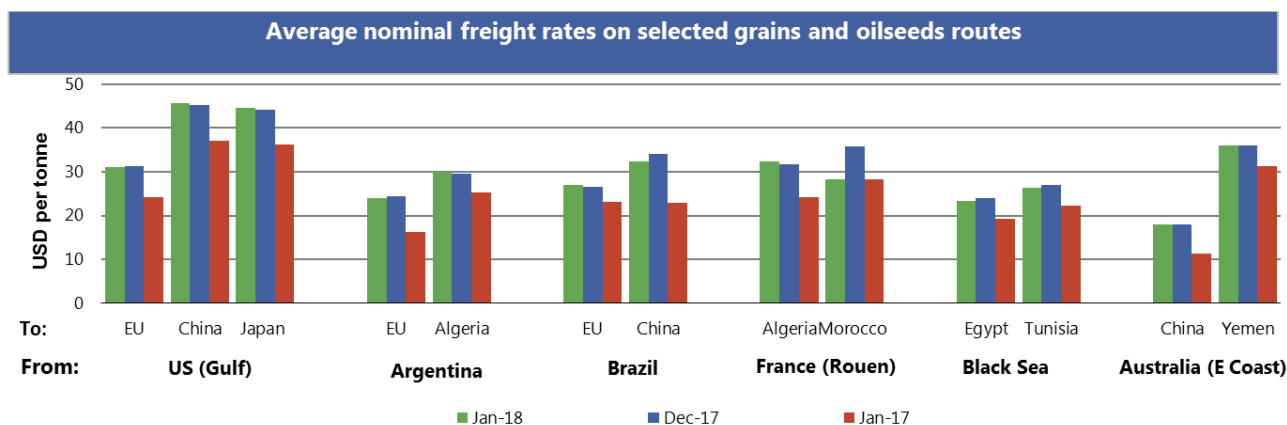
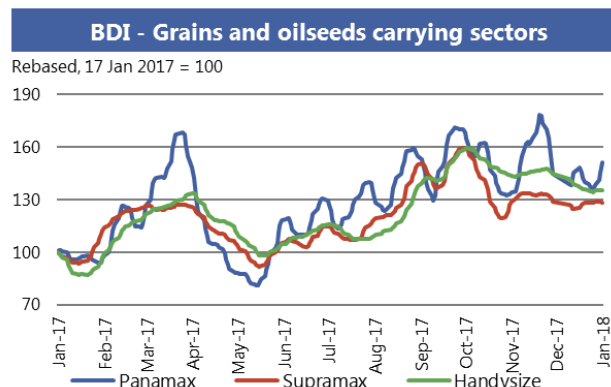
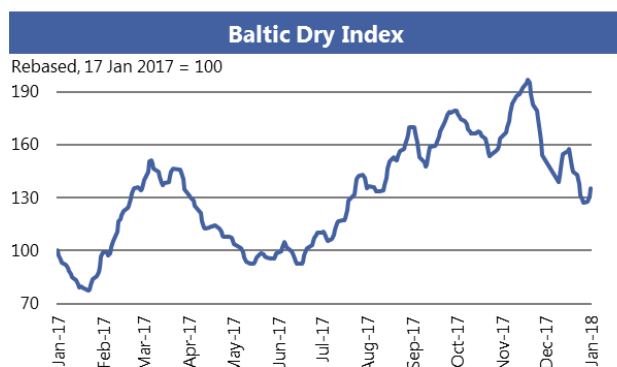
Monthly ocean freight market update

Dry bulk freight market developments

	Jan 2018 Average*	M/M	% Change	Y/Y
Baltic Dry Index (BDI) *	1255	- 22.5%		+ 38.3%
<i>sub-Indices:</i>				
Capesize	2174	- 43.5%		+ 47.5%
Panamax	1368	- 13.7%		+ 42.9%
Supramax	902	- 4.0%		+ 21.9%
Handysize	591	-6.4		+ 27.7

Source: Baltic Exchange. * 4 January 1985 = 1000

- With sentiment shaped by sectors for the largest vessels, the **Baltic Dry Index (BDI)** dropped by almost one-quarter m/m in January, to its lowest since August 2017, albeit remaining well above year ago levels. The Index reached a near-four year peak in mid-December, but mostly declined thereafter, with a temporary upswing in early January outweighed by Capesize weakness.
- The Baltic **Capesize** sub-Index slipped by more than 40 percent m/m. Buoyed by thin capacity in the Atlantic and brisk demand in Australia, average earnings climbed to a multi-year high in the latter stages of 2017. However, rates have plummeted for much of the period since on reduced mineral trade at major origins, together with the impact of adverse weather in the Pacific.
- Weighed by steep Capesize losses, average **Panamax** rates were also lower. While additional pressure stemmed from a build-up of tonnage in the North Pacific, downside was capped by robust demand for grains and oilseeds shipments from the US Gulf and Brazil.
- Amid broad-based weakness in dry bulk freight markets, quotations in the **Supramax** and **Handysize** sectors also eased. However, overall losses were limited by recent scrap and fertilizer enquiries in Europe, as well as demand for grains shipments from the Black Sea region.
- Values on key grains and oilseeds routes displayed mixed trends, with notable declines for EU rates on generally lacklustre activity.



Source: International Grains Council.

Notes:

Baltic Dry Index (BDI): A global benchmark indicator issued daily by the London-based Baltic Exchange, providing an assessment of the costs of moving major raw materials on ocean going vessels. The BDI is a composite measure, comprising sub-indices for four carrying segments, representing different vessel sizes: Capesize, Panamax, Supramax and Handysize.

Capesize: The largest vessels included in the BDI with deadweight tonnage (DWT) above 80 000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Vessels with capacity of 60 000 to 80 000 DWT, which are mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Vessels with capacity below 60 000 DWT, which account for the majority of the world's ocean going vessels. They can transport a wide variety of cargos, including grains and oilseeds.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “World Supply and Demand” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “FAO-AMIS”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2016 production is allocated to the 2016/17 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2016 production also includes secondary crops gathered in 2017. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2016) with production of the southern hemisphere of the second year (2017 production) in the corresponding 2016/17 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. FAO-AMIS and IGC wheat trade data includes wheat flour in wheat grain equivalent. USDA wheat trade data also includes wheat products. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

2018 AMIS Market Monitor Release Dates

February 1, March 1, April 5, May 3, June 7, July 5, September 6, October 4, November 1, December 6

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